

THE RBI has been researching CBDCs for the past two years. Sources say it is using the work done by the Bank of England as a test bed. In the past four years, blockchain (the technology on which cryptos are based) has proved that one can build transparent financial systems on top of it. "The technology has been proven to be versatile and it's safe and secure, so large-scale financial systems can be built," says Snehal Fulzele, Founder & CEO, Cion Digital. Agrees George Sam, Co-founder & Business Head, Mindgate Solutions, a fintech solutions provider. "I think from a CBDC perspective, blockchain will be the backbone for a digital currency."

Currently, Bitcoin and Ethereum are on permissionless or public blockchains, where users can download a crypto wallet and carry out transactions without disclosing their identity. "It's unlikely that any country will sign up for fully public blockchain as the foundation of a CBDC," says Swapnil Pawar, Founder of financial advisory ASQI. Sources suggest that the RBI is likely to work on a "permissioned blockchain", where the central bank and distribution partners like banks would be participants, and users (the merchants and public at large) could join the network after disclosing their identity via KYC.

Earlier, the RBI had said that a decision on whether CBDC would be issued directly by it or through commercial banks had to be weighed carefully. "When you do retail CBDC directly... It's almost like you're bypassing the banking system," says Fulzele. In the US, the central bank is likely to go through existing banking channels, as is China. "This is a better system as the banks and other payment players have the infrastructure to undertake KYC," says a banker. But in Eastern Caribbean nations, central banks have launched CBDCs directly. "The RBI doesn't need a large network for the digital distribution of money as required in physical currency," says Rajnish Kumar, former chairman, State Bank of India.

The RBI will also have to choose between account-based- or token-based modules. "The account-based module is easy to develop, whereas the token-based module takes longer time. Which model will be tested first will be decided in due course," RBI Deputy Governor T. Rabi Sankar said recently. Account-based CBDCs work like a regular deposit accounts.



"It [central bank digital currency] should be similar to the existing physical currency where you don't earn interest"

KRISHNAMURTHY SUBRAMANIAN
FORMER CHIEF ECONOMIC ADVISOR, GOVT OF INDIA



"Cryptos might enable money laundering and getting around capital controls—essentially a digital hawala channel. During periods of financial stress, this might amplify market volatility"

SAUGATA BHATTACHARYA
SENIOR VP & CHIEF ECONOMIST, AXIS BANK



"Despite demonetisation and digital banking, the cash in the system is back. There is also a section of people... who are not prepared for CBDC"

MADAN SABNAVIS
CHIEF ECONOMIST, BANK OF BARODA